# STUDY WITH HAMZA 25

Fall 2021

MGT402- Cost & Management Accounting

Time: 60 min

Marks: 50

Question No: 1 ( Marks: 1 ) - Please choose one

Which of the following statement measures the financial position of the entity on particular time?

y , Q F R P H 6 W D W H P H Q W

► **Balance Sheet**

y & D V K ) O R Z 6 W D W H P H Q W

y 6 W D W H P H Q W R I 5 H W D L Q H G ( D U Q L Q J

Question No: 2 ( Marks: 1 ) - Please choose one

The total cost to produce one unit is Rs. 600. Direct materials are 20% of the total cost and direct labor is 1/3 of the combined total of direct labor and direct materials. What was the cost for direct materials, direct labor, and factory overhead?

y 5 V 5 V D Q G 5 V U H V S H F W L Y H O \

y 5 V 5 V D Q G 5 V 420, respectively

► **Rs. 120, Rs. 60 and Rs. 420, respectively**

y 5 V 5 V D Q G 5 V U H V S H F W L Y H O \

Question No: 3 ( Marks: 1 ) - Please choose one

Net sales = Sales less:

y 6DOHV UHWXUQV

► **Sales discounts**

y 6DOHV UHWXUQV DOORZDQFHV

y 6DOHV UHWXUQV DOORZDQFHV DQG VDOHV GLVFRXQ

Question No: 4 ( Marks: 1 ) - Please choose one

Assuming no returns outwards or carriage inwards, the cost of goods sold will be equal to:

y 2SHQLQJ stock Less purchases plus closing stock

y &ORVLQJ VWRFN SOXV SXUFKDVHV SOXV RSHQLQJ VW

► **Sales less gross profit**

y 3XUFKDVHV SOXV FORVLQJ VWRFN SOXV RSHQLQJ VW

Question No: 5 ( Marks: 1 ) - Please choose one

If a predetermined FOH rate is not applied and the volume of production is reduced from the planned capacity level, the cost per unit expected to:

y 5HPDLQ XQFKDQJHG IRU IL[HG FRVW DQG LQFUHDVHG

► **Increase for** fixed cost and remain unchanged for variable cost

y ,QFUHDVH IRU IL[HG FRVW DQG GHFUHDVHG IRU YDUL

y ’HFUHDVH IRU ERWK IL[HG DQG YDULDEOH FRVWV

not sure

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Question No: 6 ( Marks: 1 ) - Please choose one

An average cost is also known as:

► **Variable cost**

y 8QLW FRVW

y 7RWDO FRVW

y )L[HG FRVW

total cost for all units bought (or produced) divided by the number of units

Question No: 7 ( Marks: 1 ) - Please choose one

According to IASB framework, Financial statements exhibit its users the:

y )LQDQFLDO SRVLWLRQ

y )LQDQFLDO SHUIRUPDQFH

y &DVK LQIORZ DQG RXWIORZ DQGDO\VLV

y $OO RI WKH JLYHQ RSWLRQV

Question No: 8 ( Marks: 1 ) - Please choose one

The net profit or loss for a particular period of time is reported on which of the following?

y 6WDWHPHQW RI FDVK IORZV

y 6WDWHPHQW RI FKDQJHV LQ RZQHU V HTXLW\

y ,QFRPH VWDWHPHQW

y %DODQFH VKHHW

Question No: 9 ( Marks: 1 ) - Please choose one

Which of the following is deducted from purchases in order to get the value of Net purchases?

► **Purchases returns**

y & D U U L D J H L Q Z D U G

y & X V W R P G X W \

y $ O O R I W K H J L Y H Q R S W L R Q V

Question No: 10 ( Marks: 1 ) - Please choose one

If, Sales = Rs. 1200,000

Markup = 20% of cost

What would be the value of Gross profit?

► **Rs. 200,000**

y 5 V

y 5 V

y 5 V

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Req. info = (Given info / given %age)* % of req Info

= (12000,000/120) * 20
= 200,000

Question No: 11 ( Marks: 1 ) - Please choose one

Which of the following cost is used in the calculation of cost per unit?

y 7 R W D O S U R G X F W L R Q F R V W

y & R V W R I V D Y D L O D E O H I R U V D O H V

► **Cost of goods manufactured**

y &RVW RI JRRGV 6ROG

Question No: 12 ( Marks: 1 ) - Please choose one

Which of the following is correct?

► **Units sold= Opening finished goods units + Units produced –** Closing finished goods units

y 8QLWV 6ROG 8QLWV SURGXFHG &ORVLQJ ILQLVKHG finished goods units

y 8QLWV VROG 6DOHV $YHUDJH XQLWV RI ILQLVKHG

y 8QLWV VROG Average units of finished goods inventory

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Question No: 13 ( Marks: 1 ) - Please choose one

Which of the following method of inventory valuation is not recommended under IAS 02?

y /,)2

y ),)2

y :HLJKWHG $YHUDJH

y %RWK /,)2 ),)2

The LIFO method was an allowed alternative method of costing inventories under IAS 2

Question No: 14 ( Marks: 1 ) - Please choose one

In cost Accounting, normal loss is/are charged to:

► **Factory overhead control account**

y :RUN LQ SURFHVV DFFRXQW

y ,QFRPH 6WDWHPHQW

y $OO RI WKH JLYHQ RSWLRQV

Question No: 15 ( Marks: 1 ) - Please choose one

Basic pay + bonus pay + overtime payment is called:

y 1HW pay S

► **Gross pay**

y 7DNH KRPH SD\

y $OO RI WKH JLYHQ RSWLRQV

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Question No: 16 ( Marks: 1 ) - Please choose one

Deduction of Income Tax from gross pay of an employee is an example of:

► **Statutory deductions**

y 1R Statutory deductions

y (PSOR\HU FRQWULEXWLRQ WRZDUGV SURYLGHQW IXQ

y (PSOR\HH FRQWULEXWLRQ WRZDUGV SURYLGHQW IXQ

Question No: 17 ( Marks: 1 ) - Please choose one

A worker is paid Rs. 0.50 per unit and he produces 18 units in 7 hours. Keeping in view the piece rate system, the total wages of the worker would be:

► **18 x 0.50 = Rs. 9**

y [ 5V

y [ 5 V

y [ [ 5 V

Question No: 18 ( Marks: 1 ) - Please choose o ne

Under Piece Rate System wages are paid to employees on the basis of:

► **Units produced**

y 7 L P H V D Y H G

y 2 Y H U W L P H

y & R P S H W H Q F L H V

Question No: 19 ( Marks: 1 ) - Please choose one

The flux method of labor turnover denotes:

y : R U N H U V H P S O R \ H G X Q G H U W K H H [ S D Q V L R Q V F K H P H V

► **The total change in the composition of labor force**

y : R U N H U V D S S R L Q W H G D J D L Q V W W K H Y D F D Q F \ F D X V H G quitting of the organization

y : R U N H pO Y H G in replacement of existing employees

The flux method of labor turnover denotes the total change in the composition of labor force. While replacement method takes into account only workers appointed against the vacancy caused due to discharge or quitting of the organisation.

Question No: 20 ( Marks: 1 ) - Please choose one

The term Cost apportionment is referred to:

y 7KH FRVWV WKDW FDQ QRW EH LGHQWLILHG ZLWK VS

y 7KH WRWDO FRVW RI IDFWRU\ RYHUKHDG QHHGV WR I
cost centers but must be divided among the concerned department/cost centers.

► **The total co**st of factory overhead needs to be distributed among specific cost centers.

y 1RQH RI WKH JLYHQ RSWLRQV

Question No: 21 ( Marks: 1 ) - Please choose one

In a repeated distribution method:

y (DFK VHUYLFH GHSDUWPHQW LV FORVHG DOO

y 2QO\ RQH VHUYLFH GHSDUWPHQW LV FORVHG DQG UH
departments

y (DFK VHUYLFH GHSDUWPHQW LV FORVHG DQG QRW UH
departments

► **Each service department in t**urn and re -allocates its costs to all departments

Repeated distribution method

This method takes each service department in turn and re-allocates its costs to all departments

which benefit. The re-allocation continues until the numbers being dealt with become very small.

Question No: 22 ( Marks: 1 ) - Please choose one

Which of the following statement is true ragarding Repeated distribution method?

► **The re**-allocation continues until the numbers being dealt with become very small

y 7KH-allocation continues until the numbers being dealt with become very Large

y 7 K H-allocation continues until the numbers being dealt with become small

y 1 R Q H R I W K H J L Y H Q R S W L R Q V

The re-allocation continues until the numbers being dealt with become very small.

Question No: 23 ( Marks: 1 ) - Please choose one

Which of the following is TRUE regarding Departmental Rates.

y $ G H S D U W P H Q W D O D E V R U S W L R Q U D W H L V D U D W H R I particular department's overhead cost and activity level

y $ G H S D U W P H Q W D O D E V R U S W L R Q U D W H L V D U D W H R I particular department'soverhead cost and activity level

y $ V L Q J O H U D W H R I D E V R U S W L R Q X V H G W K U R X J K R X W facility and based upon its total production costs and activity

y 1 R Q H R I W K H J L Y H Q R S W L R Q V

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.A departmental absorption rate is a rate of absorption based upon the particular department's

overhead cost and activity level This method allows the activity of each department to be measured using a basis which is

appropriate. It also ensures that the cost attributed to the cost unit reflects the cost of the departmental resources used in its cost units.

Question No: 24 ( Marks: 1 ) - Please choose one

Budget/spending variance arises due to:

y ’ L I I H U H Q F H E H W Z H H Q D E V R U E H G I D F W R U \ R Y H U K H D G

► **Difference between budgeted factory overhead for capacity attained** and FOH actually incurred

y ’LIIHUHQFH EHWZHHQ DEVRUEHG IDFWRUHG RYHUKHDG and FOH actually incurred

y 1RQH RI WKH JLYHQ RSWLRQV

Question No: 25 ( Marks: 1 ) - Please choose one

Capacity Variance / Volume Variance arises due to

y ’LIIHUHQFH EHWZHHQ $EVRUEHG IDFWRU\ RYHUKHDG capacity attained

y ’LIIHUHQFH EHWZHHQ $EVRUEHG IDFWRU\ RYHUKHDG

► **Difference between Budgeted factory overhead for capacity attained** and FOH actually incurred

y 1RQH RI WKH JLYHQ RSWLRQV

Budget variance is the difference between budgeted factory overhead for capacity attained and actual factory overhead incurred.

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Question No: 26 ( Marks: 1 ) - Please choose one

PEL & co found that a production volume of 400 units corresponds to production cost of Rs, 10,000 and that a production volume of 800 units corresponds to production costs of Rs.12,000. The variable cost per unit would be?

y 5V SHU XQLW

y 5V SHU XQLW

y 5V SHU XQLW

y 5V SHU XQLW

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Question No: 27 ( Marks: 1 ) - Please choose one

Which of the following statements is TRUE?

► **Companies that produce many different pro**ducts or services are more likely to use job -order costing systems than process costing systems

y &RVWV DUH WUDFHG WR GHSDUWPHQWV DQG WKHQ D when job-order costing is used

y - R-Eorder costing systems are used by service firms only and process costing systems are used by manufacturing concern only

y &RPSDQLHV WKDW SURGXFH PDQ\ GLIIHUHQW SURGXF likely to use process costing systems than Job order costing systems

Question No: 28 ( Marks: 1 ) - Please choose one

Which of the following would be considered a major aim of a job order costing system?

y 7R GHWHUPLQH WKH FRVWV RI SURGXFLQJ HDFK MRE

y 7R FRPSXWH WKH FRVW SHU XQLW

y 7R LQFOXGH VHSDUDWH DQDO\VLV RI FRVWV IRU

► **All of the given options**

Question No: 29 ( Marks: 1 ) - Please choose one

Of the following production operations, which one most likely employ job order cost accumulation?

y 6RIW GULQN PDQXIDFWXULQJ

► **Ship builders**

y &UXGH 2LO UHILQLQJ

y & D Q G \ P D Q X I D F W X U L Q J

Question No: 30 ( Marks: 1 ) - Please choose one

Examples of industries that would use process costing include all of the following EXCEPT:

y % H Y H U D J H V

y ) R R G

► **Hospitality**

y 3 H W U R O H X P

Question No: 31 ( Marks: 1 ) - Please choose one

When 10,000 ending units of work-in-process are 30% completed as to conversion, it means:

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► **30% of the units are completed**

y of the units are completed

y ( D F K X Q L W K D V E H H Q F R P S O H W H G W R R I L W V I L Q D

y ( D F K R I W K H X Q L W V L V F R P S O H W H G

not sure.

Question No: 32 ( Marks: 1 ) - Please choose one

Beginning work in process was 1,200 units, 2,800 additional units were put into production, and ending work in process was 500 units. How many units were completed?

y X Q L W V

y X Q L W V

► **3,500 units**

y X Q L W V

Question No: 33 ( Marks: 1 ) - Please choose o ne

In a process costing system, the journal entry used to record the transfer of units from Department A, a processing department, to Department B, the next processing department, includes a debit to:

y :RUN LQ 3URFHVV 'HSDUWPHQW % DQG D FUHGLW WR Work in Process

► **Work in Process Department B and a credit to Work in Process Department A**

y :RUN LQ 3URFHVV 'HSDUWPHQW % DQG D FUHGLW WR

y )LQLVKHG *RRGV DQG D FUHGLW WR :RUN LQ 3URFHVV

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Question No: 34 ( Marks: 1 ) - Please choose one

Which of the following is NOT an element of factory overhead?

y 'HSUHFLDWLRQ RI WKH PDLQWHQDQFH RQ HTXLSPHQW

y 6DODU\ RI WKH SODQW VXSHUYLVRU

y 3URSHUW\ WD[HV RQ WKH SODQW EXLOGLQJV

► **Salary of a marketing manager**

Question No: 35 ( Marks: 1 ) - Please choose one

Under perpetual Inventory system the Inventory is treated as:

y $VVHWV

y /LDELOLW\

y , Q F R P H

y ( [ S H Q V H

Question No: 36 ( Marks: 1 ) - Please choose one

During the year 50,000 units put in to process.30, 000 units were completed. Closing WIP were 20,000 units, 70% completed. How much the equivalent units of output would be produced?

y X Q L W V

y ,000 units

y X Q L W V

y X Q L W V

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Question No: 37 ( Marks: 1 ) - Please choose one

Greenwood petroleum has the data for the year was as follow:

| | |
|---|---|
| Opening WIP | 26,000 barrels. |
| Introduced during the year | 67,000 barrels |
| Closing WIP | 15,000 barrels. |

How many barrels were completed and transferred out of work-in-process this period?

y barrels

► **78,000** barrels

y barrels

y E D U U H O V

Question No: 38 ( Marks: 1 ) - Please choose one

Raymond Corporation estimates factory overhead of Rs. 345,000 for next fiscal year. It is estimated that 60,000 units will be produced at a material cost of Rs. 575,000. Conversion will require 34,500 direct labor hours at a cost of Rs. 10 per hour, with 25,875 machine hours.

FOH rate on the bases on Budgeted Production would be?

y 5 V S H U X Q L W

y 5 V S H U X Q L W

y 5 V S H U X Q L W

y 5 V S H U X Q L W

345000/60,000= 5.75

Question No: 39 ( Marks : 1 ) - Please choose one

In cost Accounting, abnormal loss is charged to:

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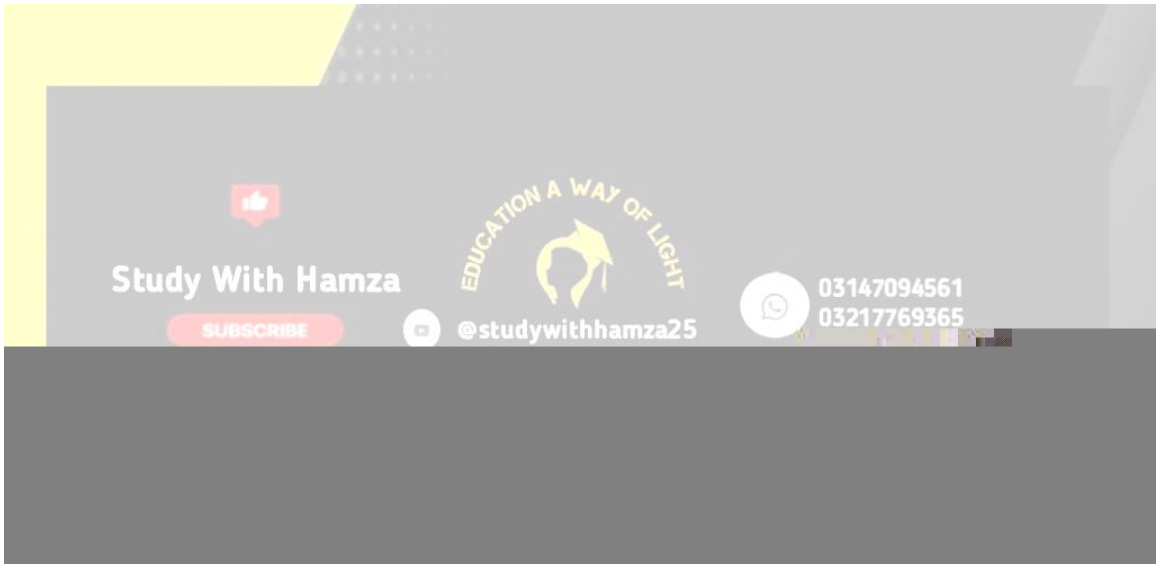
Note

Variable FOH rate always fixed at all capacity levels so it would be same for all